



Qualification Programme Examination Panelist's Report

Module 10 – Business and Company Law (June 2024 Session)

(This main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Written Questions

General Comments

This paper was three hours in duration and consisted of six questions. The marks allocation among the eight major topics was as follows:

1. Company Law: 30%
2. Law for Public Companies: 10%
3. Law of Tort and Negligence: 10%
4. Law of Contract: 15%
5. Law of Consumer Protection: 10%
6. Law of Employment: 9%
7. Law of Prevention of Bribery & Corruption and Anti-Money Laundering: 6%
8. Law of Agency: 10%

This paper was set on the syllabus prescribed by HKICPA, which covers the important topics on business and company law.

Candidates performed well on questions covering popular topics such as the laws of contract, agency, and negligence. This can be seen in Questions 1(a), 4(a)(i), and 4(b).

Candidates also did well on straightforward questions such as Question 3(a)(i), which covered implied duties owed by an employee to the employer.

Some questions required candidates to demonstrate their analytical skills and apply legal principles to case scenarios with reference to case laws and/ or legislation. Stronger candidates were able to demonstrate the analytical skills required for these questions, while weaker candidates failed to perform well on these questions. More detail can be found in the specific comments below for Questions 1(c), 3(c), 4(a)(ii), and 6(a)(ii).



Specific Comments

Question 1(a) – 9 Marks

This question required candidates to discuss different ways to discharge a contract. Most candidates did well on this question, though some spent too much time on it.

Question 1(b) – 4 Marks

This question required candidates to discuss discharge of contract by frustration and by breach. Most candidates did well on this question. However, some candidates did not identify the issue of frustration.

Question 1(c) – 2 Marks

This question required candidates to discuss the remedies available to WWL. The overall performance of the candidates was only fair. Some candidates discussed irrelevant remedies such as injunction and specific performance, and some did not answer the question correctly because they failed to identify the issue of frustration.

Question 2(a) – 4 Marks

This question required candidates to explain the meaning and purpose of a retention of title clause in a sale of goods agreement. Candidates performed well on this question and were able to cite relevant case law. Some candidates did not attempt to answer this question.

Question 2(b) – 6 Marks

This question required candidates to discuss the enforceability of the retention of title clause set forth in the sales of goods agreement entered into by SIL and UML. The overall performance of the candidates was quite good.

Question 3(a)(i) – 5 Marks

This question required candidates to explain the implied duties owed by employees to the employer. This was a very straightforward question, and most candidates did quite well on this question.

Question 3(a)(ii) – 4 Marks

This question required candidates to discuss the breach of implied duties owed to the employer and the legal consequences of such a breach. The performance of many candidates was good. Only a few candidates gave irrelevant answers on vicarious liability of the employer.



Question 3(b) – 3 Marks

This question required candidates to discuss the criminal offence of bribery under anti-corruption laws. Most candidates were able to answer the question correctly. However, a few candidates mistakenly identified the legal issue as anti-money laundering.

Question 3(c) – 3 Marks

This question required candidates to discuss the offence of deceiving one's principal by using false documents under the Prevention of Bribery Ordinance (Cap.201). Some candidates did not seem to understand the question and gave an answer which was similar to that in Question 3(b).

Question 4(a)(i) – 4 Marks

This question required candidates to explain various ways of creation of agency. As this is a popular and straightforward question, most candidates answered the question well.

Question 4(a)(ii) – 6 Marks

This question required candidates to discuss agency by ratification. Many candidates incorrectly identified the legal issue as agency by estoppel.

Question 4(b) – 10 Marks

This question required candidates to discuss the issue of negligence. As this is a popular and straightforward question, most candidates answered the question well.

Question 5(a)(i) – 2 Marks

This question required candidates to explain the meaning of a debenture. Most candidates did very well on this question.

Question 5(a)(ii) – 5 Marks

This question required candidates to explain the meaning of a fixed charge and discuss the creation of a valid fixed charge. In general, the performance of many candidates was above average. However, some candidates provided very short answers.

Question 5(a)(iii) – 8 Marks

This question required candidates to explain the meaning of a floating charge and discuss the creation of a valid floating charge. Many candidates did rather well on this question. However, some candidates did not attempt to answer this question.



Question 5(b) – 4 Marks

This question required candidates to explain how a company can apply for dormant status and the advantages of being a dormant company. Most candidates did well on this question.

Question 5(c) – 6 Marks

This question required candidates to explain the requirements of deregistering a company. Most candidates did rather well on this question, whereas some candidates incorrectly identified the issue as liquidation.

Question 6(a)(i) – 3 Marks

This question required candidates to discuss the meaning of inside information. Candidates who were well prepared did rather well on this question.

Question 6(a)(ii) – 7 Marks

This question required candidates to discuss whether Ricky's conduct constituted insider dealing. The overall performance of the candidates was only fair, and some candidates did not attempt to answer the question. This may have been due to a lack of time.

Question 6(b)(i) – 3 Marks

This question required candidates to discuss the difference in the liability of a general partner and a limited partner. The overall performance was only fair since many candidates provided short answers. This may have been due to a lack of time.

Question 6(b)(ii) – 2 Marks

This question required candidates to discuss the legal requirements for changing the status from being a general partner to that of being a limited partner. A number of candidates answered this question incorrectly, with some candidates discussing the liabilities of a limited partner or registration of a limited partnership.



(III) Conclusion and Recommendation

Overall, candidates performed well on popular topics such as laws of contract, employment, agency, and negligence. However, it appears that candidates may not have sufficiently covered the syllabus in depth; thus, many did not perform well on less popular topics such as agency by ratification, insider dealing, and the registration requirements of changing the status from being a general partner to that of being a limited partner.

Candidates are reminded that this paper aims to cover all topics to test the candidates' ability to apply their legal knowledge in specific situations. As a result, candidates are advised to study all important business and company law topics. It is not advisable for candidates to focus only on just two to three topics.

Some candidates showed difficulty in identifying the key issues of the questions. As a result, many candidates chose to write what they knew about the topic and failed to identify and discuss the specific issues of the questions. Candidates are reminded to apply the relevant legal principles to resolve the issues in the questions in order to score higher marks.

Most candidates were able to complete all the questions of the paper within the prescribed time, though some candidates did not answer all parts of the questions. Candidates are reminded to make a reasonable attempt to answer all questions.

As most of the topics in the syllabus, such as contract law and company law, are governed by case law as well as legislation, candidates are advised to study and apply both case laws and legislation when answering questions.